

Hiring Your First Employee

8 steps • 15 min read • Available from the Launchpad plan

Your first hire is the moment your business stops being a side project and starts being an employer. South African labour law attaches real obligations the day someone starts working for you — whether or not you have a signed contract yet. This playbook gets you from “we found someone great” to a compliant, funded, on-record employment relationship.

WHY IT MATTERS

- The Basic Conditions of Employment Act (BCEA) requires written particulars of employment within the first days of starting work — not “whenever we get to it.”
- Misclassifying your first hire as a contractor to avoid payroll admin is one of the most common early-stage compliance mistakes, and it is expensive to unwind later.
- Banks, investors, and acquirers check employment paperwork during diligence. A clean record from hire number one compounds in your favour.

Step-by-step

1

Confirm the role is genuinely an employment relationship

Decide upfront whether this person will be under your direction and control (employee) or delivering a defined outcome on their own terms (contractor). This decision drives which agreement and which tax and UIF treatment apply.

2

Set the package: salary, benefits, and probation

Fix guaranteed pay, any variable pay, benefits (medical aid, retirement contributions), and a probation period (commonly three to six months, with a clear review point).

3

Run the Employment Contract (BCEA) wizard

Capture the role, remuneration, working hours, leave entitlements, notice period, and restraint or confidentiality terms. The wizard assembles a BCEA-compliant contract in the correct South African form, not a generic template.

4

Add the compulsory written particulars

Confirm the contract includes: place of work, ordinary hours of work, rate and method of pay, and the date employment begins — the specific particulars the BCEA requires in writing before or when work starts.

5

Register for PAYE, UIF, and SDL

Register the employee with SARS for PAYE and set up monthly UIF contributions (currently split between employer and employee) and, once payroll exceeds the threshold, the Skills Development Levy.

6

Issue the offer, negotiate, and route to signature

Share the draft on-platform for the candidate to read in plain language, redline if needed, then route both parties to e-signature so the executed copy is receiver-grade from day one.

7

Onboard against the Employee Handbook

Point the new hire to your Employee Handbook (build one with the Employee Handbook wizard if you have not already) so policies on leave, conduct, and grievance procedures are consistent from their very first day.

8

Update your Company Snapshot

Log the new employee, their contract, and their start date. This keeps your headcount, payroll trigger dates, and CCMA-relevant service dates accurate for every future workflow.

Quick checklist

- Role classified as employee (not contractor)
- Salary, benefits, and probation period agreed in writing
- BCEA-compliant contract generated and signed
- PAYE, UIF, and (if applicable) SDL registrations complete
- Offer letter negotiated and e-signed by both parties
- Employee Handbook shared on day one
- Company Snapshot updated with new headcount

Estimate your true monthly cost per employee

Gross monthly salary	R _____
Employer UIF contribution (1% of gross, capped monthly)	R _____
Skills Development Levy (1% of payroll, if registered)	R _____
Medical aid / retirement employer contribution (if any)	R _____
Estimated true monthly cost	Sum of the above

RELATED WIZARDS — JUMP STRAIGHT IN

→ **Employment Contract (BCEA)** → **Employee Handbook**

This playbook is general guidance for South African startups and SMEs and is not a substitute for advice on your specific circumstances. Run the linked wizards on The StartUp Legal platform to generate, negotiate, and e-sign the actual documents — each completed run produces a receiver-grade document, a full evidence pack, and an update to your Company Snapshot.